

Unincorporated firms

Year	Liabe	Exempt	LLCs, liable	Proprietorships, liable
1981	0.000 (0.001)	-0.003*** (0.001)	0.000 (0.001)	0.001 (0.003)
1982	0.001 (0.001)	0.002*** (0.001)	0.001 (0.001)	0.002 (0.003)
1983	—	—	—	—
1984	0.007*** (0.001)	0.002*** (0.001)	0.006*** (0.001)	0.013*** (0.003)
1985	0.008*** (0.001)	0.003*** (0.001)	0.007*** (0.001)	0.013*** (0.004)
1986	0.007*** (0.001)	0.003*** (0.001)	0.007*** (0.002)	0.011*** (0.004)
1987	0.006*** (0.001)	0.005*** (0.001)	0.005*** (0.001)	0.008** (0.003)
1988	0.004*** (0.001)	0.004*** (0.001)	0.003* (0.001)	0.009*** (0.003)
1989	0.006*** (0.001)	0.004*** (0.001)	0.005*** (0.001)	0.008** (0.004)
1990	0.003** (0.001)	0.004*** (0.001)	0.002 (0.001)	0.008** (0.004)
1991	0.010*** (0.001)	0.002*** (0.001)	0.010*** (0.002)	0.012*** (0.004)

Outcome: the gross minus the net-of-sales-tax log materials share, $\ln(\rho_t M_{it}^* / P_t Y_{it}) - \ln((1 - \tau_{P,it}) \rho_t M_{it}^* / (P_t Y_{it} - \tau_{S,it} \text{sales}_{it}))$, the tax wedge that the gross share carries. Same specification as the differences in the event study of the 1983 reform: difference relative to 1983 (reference, —), industry fixed effects, unincorporated firms (or LLCs, proprietorships) relative to corporations, in sales-tax-liable and exempt industries. The coefficients equal the gap between the event study on the gross share and on the net share. Standard errors in parentheses, clustered by plant. * p<0.1, ** p<0.05, *** p<0.01. Observations: 39,495; juridical organization codes 6–9 excluded.